

ECONOMICS PAPER 1

(Mock Test 32)

Time allowed: 1 hour

INSTRUCTIONS

1. Read carefully the instructions on the Answer Sheet. After the announcement of the start of the examination, you should first stick a barcode label and insert the information required in the spaces provided. No extra time will be given for sticking on the barcode label after the 'Time is up' announcement.
2. When told to open this book, you should check that all the questions are there. Look for the words '**END OF PAPER**' after the last question.
3. All questions carry equal marks.
4. **ANSWER ALL QUESTIONS.** You are advised to use an HB pencil to mark all the answers on the Answer Sheet, so that wrong answers can be completely erased with a clean rubber. You must mark the answers clearly; otherwise you will lose marks if the answers cannot be captured.
5. You should mark only **ONE** answer for each question. If you mark more than one answer, you will receive **NO MARKS** for that question.
6. No marks will be deducted for wrong answers.

Not to be taken away before the end of the examination session

There are 45 questions in this paper. Choose the **BEST** answer for each question.

1. Charlotte can choose to study a bachelor's degree program in Hong Kong or the UK. Which of the following would increase her opportunity cost of studying a bachelor's degree programme in the UK?

- (1) The university in Hong Kong gives Charlotte an admission scholarship.
- (2) The Hong Kong dollar depreciates against the British pound.
- (3) University life in the UK is more boring than she expected.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2. Refer to the following statements.

Mr. Chan: The development of high-tech industries will increase Hong Kong's per capita GDP.

Miss Lee: The high-tech industry is the most important industry in Hong Kong.

_____ statement is _____ because _____.

- A. Mr. Chan's ... normative ... value judgement is involved in the statement
- B. Mr. Chan's ... positive ... it can be rejected by fact
- C. Miss Lee's ... normative ... it is agreed on by some scholars
- D. Miss Lee's ... positive ... it is consistent with the facts

3. Under the Government Public Transport Fare Concession Scheme for the Elderly and Eligible Persons with Disabilities (the \$2 Scheme), Hong Kong residents aged 60 or above can travel on designated public transport modes and services at a concessionary fare of \$2 per trip. Some politicians suggested the government increase the fare from \$2 to \$3 per trip.

Which of the following statements about the above suggestion is/are **CORRECT**?

- (1) The above suggestion will not affect the opportunity cost for Hong Kong residents aged 60 or above taking public transport modes.
- (2) The above suggestion is related to the 'for whom to produce' question in economics.
- (3) The above suggestion is an example of using government command to solve the basic economic problem.

- A. (2) only
- B. (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

4. The following table shows the information about firm A and firm B.

	Firm A	Firm B
Number of owners	30	50
Liability	unlimited	limited

Based on the above information, which of the following statements about the above firms is **CORRECT**?

- A. Firm A does not need to disclose its financial information to the public while Firm B does.
 - B. If one of the owners goes bankrupt, firm A has to be dissolved while firm B will continue to exist.
 - C. Firm B has a higher risk of being taken over than firm A.
 - D. Neither firm A nor firm B can issue shares to the public.
5. Which of the following statements about public goods is **CORRECT**?
- A. Books in public libraries are an example of public goods.
 - B. Public goods are goods provided by the government.
 - C. The cost of producing an additional unit of a public good is zero.
 - D. The additional cost of serving an extra consumer to use a public good is zero.
6. The following photo shows a carpark in Hong Kong.



Which items in the diagram are the capital of the carpark?

- (1) the gate barrier in the carpark
 - (2) lighting facilities in the carpark
 - (3) cars parked in the carpark
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)
7. Both the labour supply and average labour productivity of an economy decreased. Which of the following can best explain the above change?
- A. More experienced workers retired.
 - B. More enterprises adopted artificial intelligence to replace workers.
 - C. More residents moved to work in neighbouring areas.
 - D. The degree of division of labour decreased.

8. The table below shows the production plan of a firm. It employs two factors of production only, namely labour and machines.

Labour (units)	Machines (units)	Average product (units)
5	10	11
6	10	13
7	10	15
8	10	X

If the above data illustrates the law of diminishing marginal returns, the value of X _____.

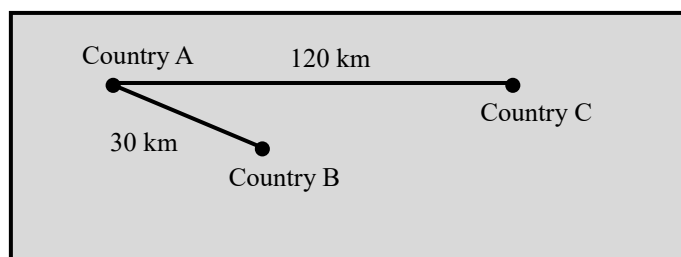
- A. can be equal to 27
 - B. can be equal to 16.5
 - C. must be smaller than 16.5
 - D. must be larger than 16.5
9. In Country A, as more online food delivery platforms are launched, the average salary of food delivery couriers also increases. In this case, the online food delivery platforms
- A. enjoy internal economies of scale.
 - B. suffer from internal diseconomies of scale.
 - C. enjoy external economies of scale.
 - D. suffer from external diseconomies of scale.
10. The table below shows the cost-output relationship of a price-taking firm.

Output (units)	Average cost (\$)
5	10
6	10
7	11
8	12
9	13

Suppose the average cost for each unit of output increases by \$2 and the market price decreases from \$21 to \$19. The profit-maximising output of the firm will _____ while the profit will _____.

- A. decrease by 1 unit ... decrease to \$42
 - B. decrease by 1 unit ... decrease to \$56
 - C. decrease by 2 units ... decrease to \$42
 - D. decrease by 2 units ... decrease to \$56
11. In April 2023, Sega Sammy Holdings, a game developer, proposed to acquire Rovio Entertainment, the developer of the famous mobile game 'Angry Birds'. Which of the following are likely the motives for the acquisition?
- (1) to enjoy economies of scale
 - (2) to reduce competition
 - (3) to ensure a higher profit for the company
 - (4) to increase market share
- A. (1) and (2) only
 - B. (3) and (4) only
 - C. (1), (2) and (4) only
 - D. (2), (3) and (4) only

12. Refer to the following figure.



Suppose Country A exports apples to Country B and Country C. The cost of transporting 1 unit of apples per kilometre is fixed. Which of the following is **INCONSISTENT** with the law of demand?

- A. Compared with Country B, Country C imports a greater proportion of high-quality apples from Country A.
- B. The average quality of apples sold in Country C is lower than that of apples sold in Country B.
- C. When the cost of transporting 1 unit of apples decreases, the total expenditure of consumers in Country B and Country C on apples imported from Country A will decrease.
- D. When the cost of transporting 1 unit of apples increases, both Country B and Country C will import fewer apples.

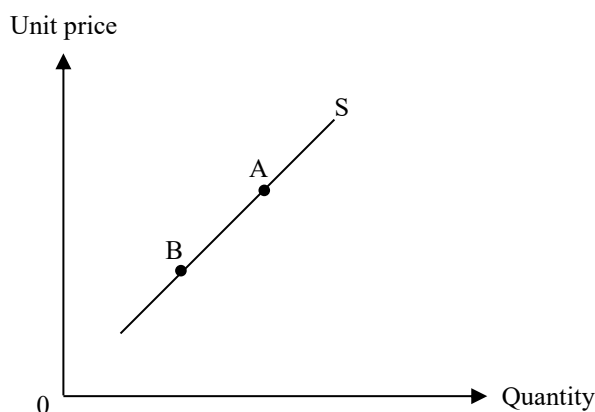
13. When the price of beef increases, _____ will increase.

(Assume the supply and demand curves of plant-based meat and leather shift in a parallel manner.)

- (1) consumers' total spending on plant-based meat
- (2) producer surplus in the market of plant-based meat
- (3) consumer surplus in the market of leather
- (4) total revenue of leather producers

- A. (1) and (2) only
- B. (3) and (4) only
- C. (1), (2) and (3) only
- D. All of the above.

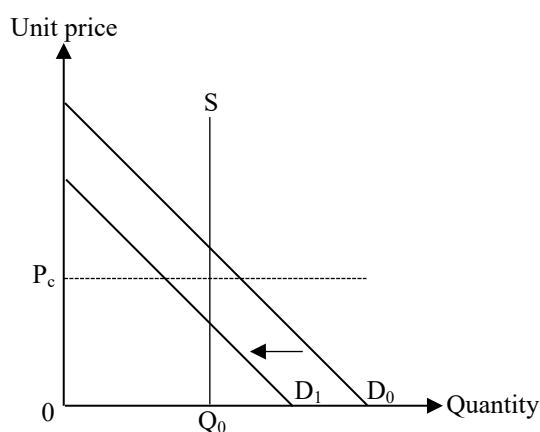
14. The following diagram shows the supply curve (S) of electric vehicles.



Which of the following reasons best explains the change in equilibrium position from A to B?

- A. The production cost for electric vehicle batteries increases.
- B. More traditional automakers enter the electric vehicle market.
- C. Some studies suggest that electric vehicles perform poorly in cold environments.
- D. The government offers tax exemptions to buyers of electric vehicles.

15. Suppose the demand curve of good X is a downward-sloping straight line. When the price of the good rises from \$40 to \$50, its quantity demanded falls from 25 units to 20 units. When the price of good X rises further from \$50 to \$60, producers' total revenue _____.
- will remain unchanged
 - will increase
 - will decrease
 - may increase, decrease or remain unchanged
16. When the government provides a per-unit subsidy of \$6 to the producers of good X, its price may _____ if the elasticity of demand for good X is _____ its elasticity of supply.
- decrease by \$2 ... higher than
 - decrease by \$4 ... higher than
 - decrease by \$4 ... lower than
 - decrease by \$3 ... equal to
- (2) only
 - (1) and (3) only
 - (2) and (4) only
 - (1), (3) and (4) only
17. The following diagram shows the supply and demand curves of good X. The government imposes a price ceiling on good X at P_c .



Suppose the demand for good X decreases from D_0 to D_1 . Which of the following statements about the market for good X is **CORRECT**?

- Consumers' total spending on good X will increase.
- The excess demand for good X will disappear.
- The quantity transacted of good X will decrease.
- The price of good X will remain unchanged.

18. Refer to the following demand-supply schedule of good X.

Unit price (\$)	9	10	11	12	13	14	15
Quantity demanded (units)	50	45	40	35	30	25	20
Quantity supplied (units)	20	25	30	35	40	45	50

Which of the following statements about the market of good X is **CORRECT**?

- A. If a price floor is set at \$10, the quantity transacted of good X will decrease by 10 units.
- B. If a production quota is set at 25 units, consumers' total expenditure on good X will increase by \$70.
- C. If a per-unit tax of \$2 is imposed, the market price of good X will increase by \$2.
- D. If a per-unit subsidy of \$2 is provided, the total revenue including subsidy will increase to \$520.

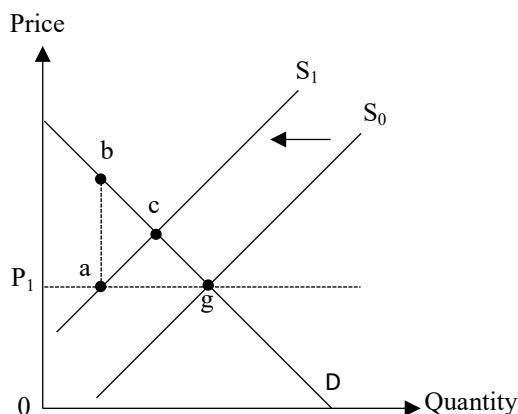
19. Which of the following statements about a perfectly competitive market is **CORRECT**?

- A. Different sellers sell similar but distinguishable products.
- B. The market price will not change.
- C. Sellers have perfect market information while buyers do not have perfect market information.
- D. The marginal revenue of a firm equals to the market price.

20. An increase in the supply of wool

- A. will lead to an increase in the marginal benefit of the last unit of wool.
- B. will improve economic efficiency.
- C. can be caused by an increase in the price of wool.
- D. can be caused by an increase in demand for lamb.

21. The following diagram shows the supply and demand curves of good X.



Suppose a price ceiling is set at P_1 . When the supply of good X decreases from S_0 to S_1 , the marginal benefit will be _____ the marginal cost and the deadweight loss will be _____.

- A. larger than ... area abc
- B. larger than ... area acg
- C. smaller than ... area abc
- D. smaller than ... area acg

22. Jason often plays the piano at home. His neighbour, Kelly, appreciates his performance very much and wants to enjoy more piano performances. Which of the following statements is **CORRECT**?
- If Kelly pays Jason to play the piano for longer periods, economic efficiency can be improved.
 - Jason has to pay compensation to Kelly in order to reduce the divergence between private and social costs.
 - If Kelly pays Jason, there will be no divergence between private and social benefits.
 - The government should intervene and ask Kelly to compensate Jason to achieve efficiency.

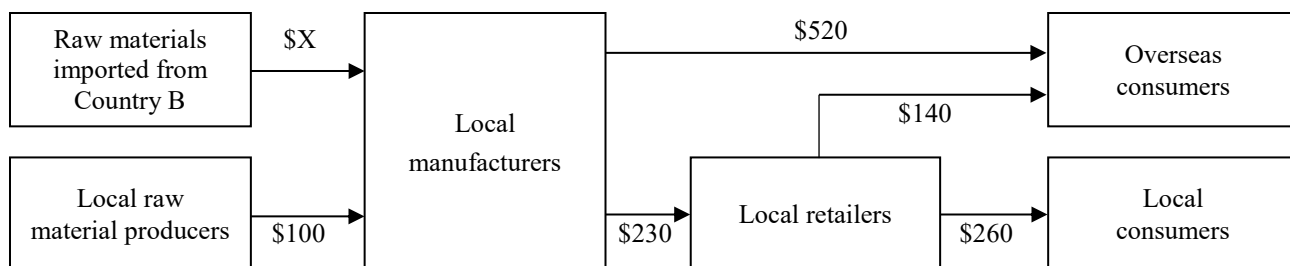
23. The table below shows the Gini coefficient of Country A.

	2021	2022
Gini coefficients based on post-tax post-social transfer monthly household income	0.474	0.453

Which of the following best explains the change in Country A from 2021 to 2022?

- The government has reduced the transfer payments to low-income groups.
 - The government has tightened the eligibility criteria for applying for subsidised housing.
 - The government has raised the tobacco tax.
 - The government has raised the progressivity of salaries tax.
24. The government of an economy launched a Consumption Voucher Scheme, distributing consumption vouchers of the same value to all residents aged 18 or above. The vouchers can be used to purchase goods and services within a specified period of time. Which of the following statements about the scheme are **CORRECT**?
- This reduces income inequality, as the value of consumption vouchers results in a higher percentage increase in the income of lower-income groups.
 - This helps equalise opportunity, as all residents aged 18 or above have an equal opportunity to receive the consumption vouchers.
 - Aggregate output will increase in the short run.
- (1) and (2) only
 - (1) and (3) only
 - (2) and (3) only
 - (1), (2) and (3)

25. The following diagram shows a production chain of automobiles in Country A.



Suppose the above production chain has included a subsidy of \$50 that is given to the local manufacturers. If the contribution of the above production chain to Country A's GDP at factor cost is \$800, the value of X is _____.

- A. \$70
 B. \$170
 C. \$370
 D. \$420
26. Suppose a closed economy produces good X and good Y only. The output of 2021 and 2022 are as follows:

Year	Price of good X (\$)	Output of good X (units)	Price of good Y (\$)	Output of good Y (units)
2021	15	50	30	40
2022	18	48	28	42

Which of the following statements about the economy are **CORRECT**?

- (1) Nominal GDP in 2022 is higher than that in 2021.
 (2) Real GDP in 2022 is higher than that in 2021.
 (3) The GDP deflator in 2022 is higher than that in 2021.
- A. (1) and (2) only
 B. (1) and (3) only
 C. (2) and (3) only
 D. (1), (2) and (3)
27. Refer to the data for an economy.

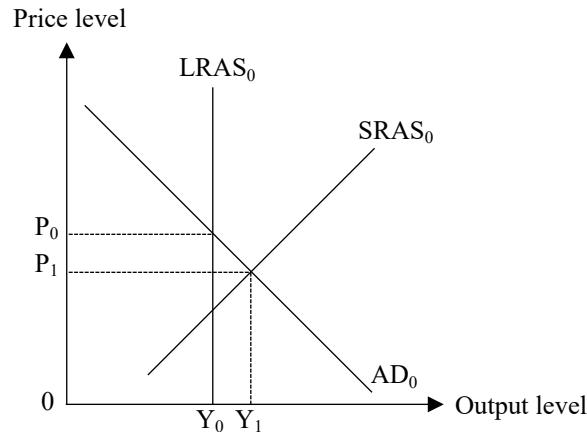
Gross national income (GNI) at market prices	\$475 million
GDP at factor cost	\$515 million
GDP at market prices	\$500 million
GDP deflator	95

Which of the following statements about the economy are **CORRECT**?

- (1) Net factor income from abroad is greater than zero.
 (2) The amount of subsidies is greater than that of indirect taxes.
 (3) Real GDP is greater than nominal GDP.
- A. (1) and (2) only
 B. (1) and (3) only
 C. (2) and (3) only
 D. (1), (2) and (3)

28. Suppose many factories in an economy are closed due to a mass labour strike. Which of the following will offset its effect on the economy's price level in the short run?
- The income of the economy's trading partners increases.
 - People's desire to save increases.
 - The government raises the minimum wage rate.
 - Producers expect the price level to increase.

29. Refer to the following diagram.



The initial output level of the economy is at Y_1 . Suppose the economy's trading partners experience economic recovery. In the long run,

- the price level will be higher than P_0 .
 - the output level will be higher than Y_0 .
 - the aggregate demand curve will shift to the left to attain equilibrium.
 - the long run aggregate supply curve will shift to the right to attain equilibrium.
30. Suppose hyperinflation occurs in Country A. People are generally unwilling to use the currency of Country A and they use the currency of Country B which has a relatively stable value for transactions. Which of the following statements are **CORRECT**?
- The function of Country A's currency of being a store of value weakens.
 - Country B's currency is regarded as money in Country A.
 - Country B's currency serves the function of money as a medium of exchange.
- (1) and (2) only
 - (1) and (3) only
 - (2) and (3) only
 - (1), (2) and (3)

31. Titus withdraws HK\$800,000 from his time deposits account with a deposit-taking company in Hong Kong. He puts one-fourth of the amount into his safe deposit box in a licensed bank and deposits \$500,000 into his account with a restricted licence bank. He remits the remaining amount overseas.

What will be the immediate effects of the above actions on the Hong Kong dollar money supply?

- (1) M1 will increase by HK\$200,000.
- (2) M2 will decrease by HK\$600,000.
- (3) M3 will decrease by HK\$100,000.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

32. The following table shows the balance sheet of the banking system of a country. All banks do not hold excess reserves and the public hold \$200 million cash.

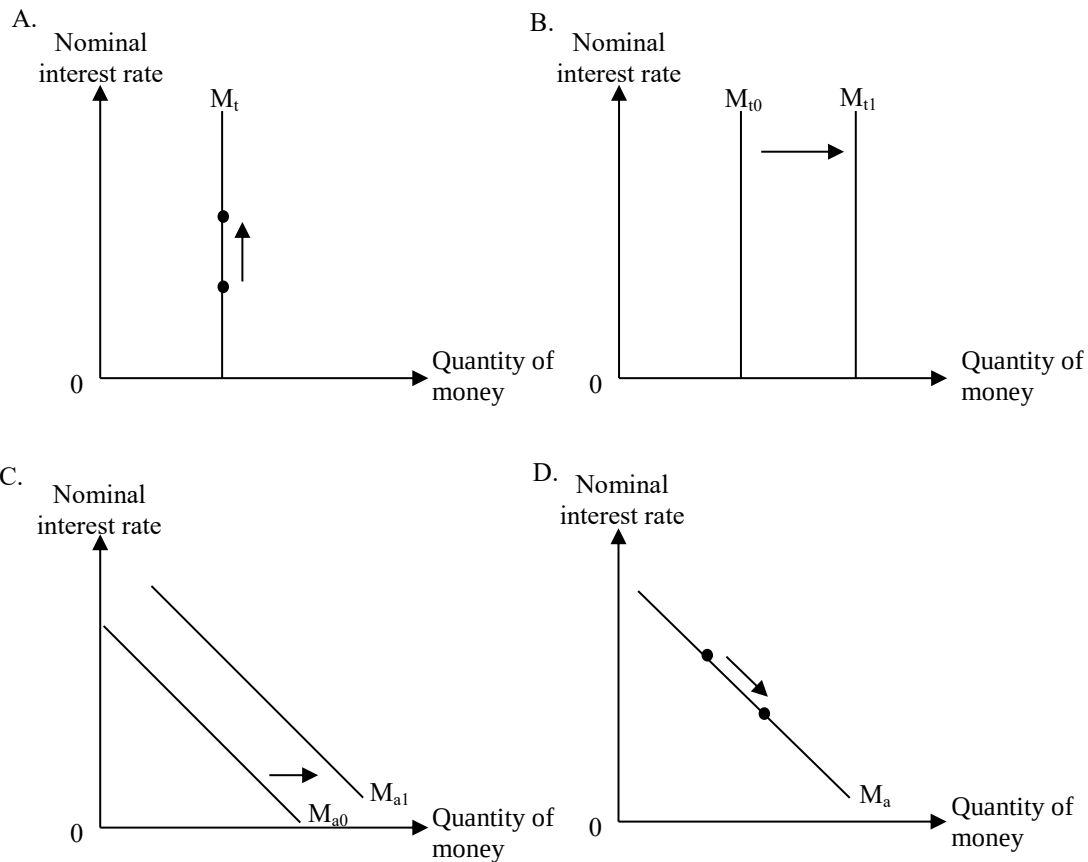
Assets (\$ million)		Liabilities (\$ million)	
Reserves	450	Deposits	1,800
Loans	1,350		

Which of the following statements about the above banking system is **CORRECT**?

- A. The money supply is \$1,800 million.
- B. If the public withdraw \$100 million from the bank and hold it in cash, the maximum possible decrease in loans will be \$400 million.
- C. If the required reserve ratio is increased to 30%, the maximum amount of deposits will be \$1,500 million.
- D. If the required reserve ratio is increased to 30%, the reserves will be \$540 million.

33. Suppose people's confidence in electronic wallets weakens due to an increase in potential security risks. Which of the following diagrams best illustrates the effect of the above event on the money market?

M_t = Transaction demand for money
 M_a = Asset demand for money



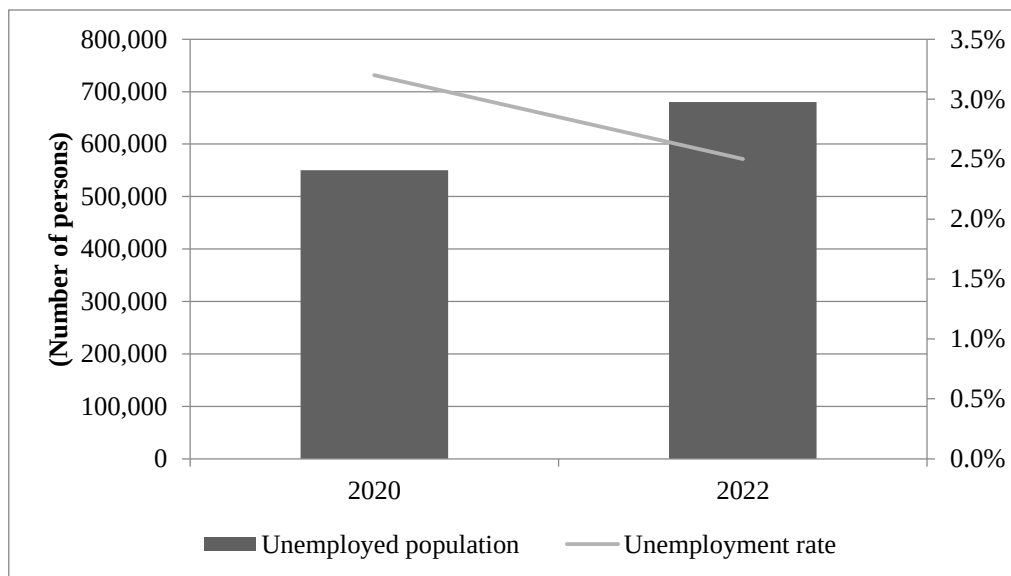
34. Suppose the nominal interest rate of a bond is 5% and the expected inflation rate is 3%. Which of the following statements is **CORRECT**?

- A. If the actual inflation rate is -1% , the bond issuer will gain.
- B. If the actual inflation rate is 4% , bondholders will lose.
- C. The cost of holding money is 2% .
- D. Expected real interest rate is higher than nominal interest rate.

35. Which of the following statements about the classical quantity theory of money is **CORRECT**?

- A. An increase in the price level will cause money supply to increase by the same percentage.
- B. If the growth rate of money supply is constant, the inflation rate will equal 0% .
- C. When money supply grows by a constant percentage each year, real output will also grow by the same percentage each year.
- D. When money supply grows by a constant percentage each year, nominal output will also grow by the same percentage each year.

36. Refer to the following unemployment data of Country A.



Which of the following best explains the change in the unemployment data of Country A from 2020 to 2022?

- A. More manufacturers closed their businesses in Country A.
- B. More employed people went overseas to work under the Working Holiday Scheme.
- C. Some unemployed workers gave up seeking jobs.
- D. The government provided a transport subsidy to the employed.

37. Anson lives and works in Hong Kong. He has the following incomes in 2022:

- (1) commission earned as a salesperson
- (2) rental income received from renting out a car park space
- (3) interest earned from time deposits with licensed banks
- (4) dividend received from a listed company in Hong Kong

According to the tax system of Hong Kong, which of the above incomes are subject to taxation?

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (4) only

38. Which of the following policies will broaden Hong Kong's tax base?

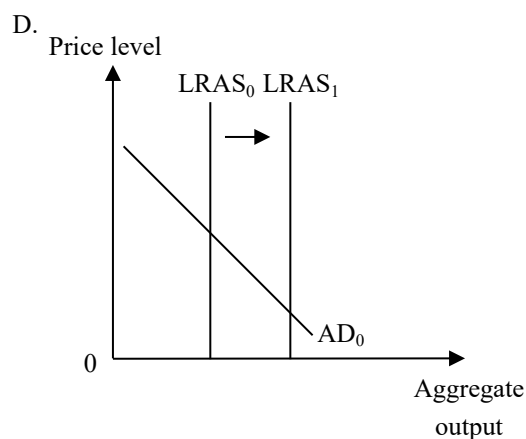
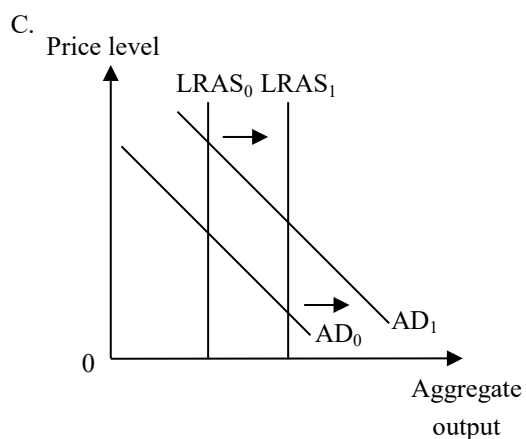
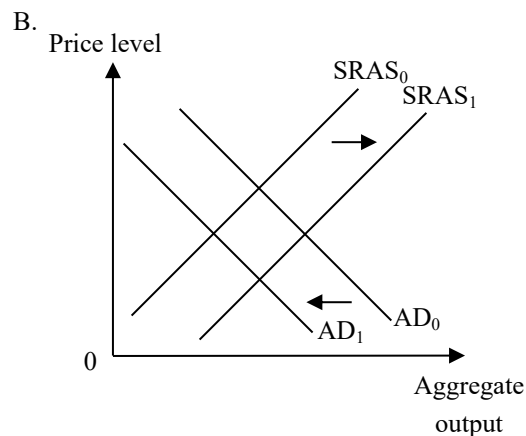
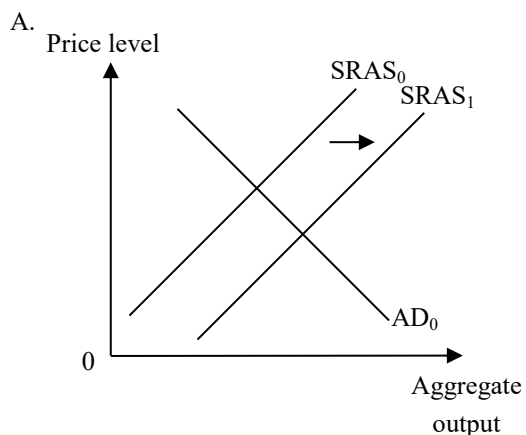
- A. to introduce the general sales tax
- B. to increase the profits tax rate
- C. to increase the progressiveness of the salaries tax
- D. to abolish the tobacco tax

39. An economy plans to implement the following two policies:

Policy 1: to purchase government bonds from the public through the central bank

Policy 2: to increase spending on infrastructure construction

Which of the following AD-AS diagrams best illustrates the impact of the two policies above?



40. Suppose a country has a deflationary (output) gap. Which of the following would narrow the deflationary (output) gap and the income gap at the same time?

- A. to increase transfer payments
- B. to raise the discount rate
- C. to raise the sales tax rate
- D. to lower the profits tax rate

41. Refer to the news report below.

In the 2023-24 Budget, the Financial Secretary proposes raising the duty on cigarettes by 60 cents per stick to increase the incentive of smokers to cut down or quit smoking.

The above measure is **LEAST** in line with the _____ principle of taxation put forward by Adam Smith.

- A. equity
- B. convenience
- C. economy
- D. certainty

42. The following table shows the output per unit of resources in Country A and Country B.

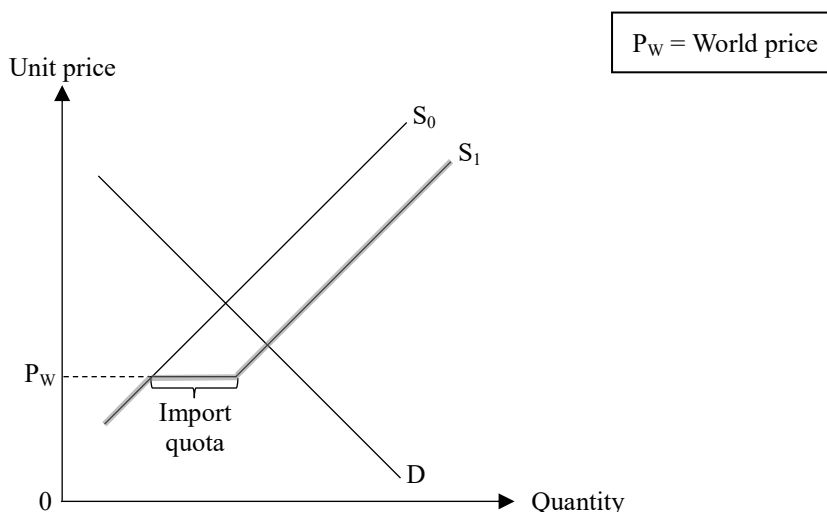
	Apples (units)		Bread (units)
Country A	40	OR	60
Country B	25	OR	45

Suppose there is no transportation cost. According to the above table, which of the following statements are **CORRECT**?

- (1) Country A has both absolute advantage and comparative advantage in producing apples.
- (2) A mutually beneficial terms of trade can be 1 unit of apples = 1.6 units of bread.
- (3) If Country A exports 20 units of apples to Country B in exchange for 35 units of bread, Country A's total gain from trade is 5 units of bread.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

43. The following diagram shows the market of good X in a small open economy. The economy imposes an import quota on good X.

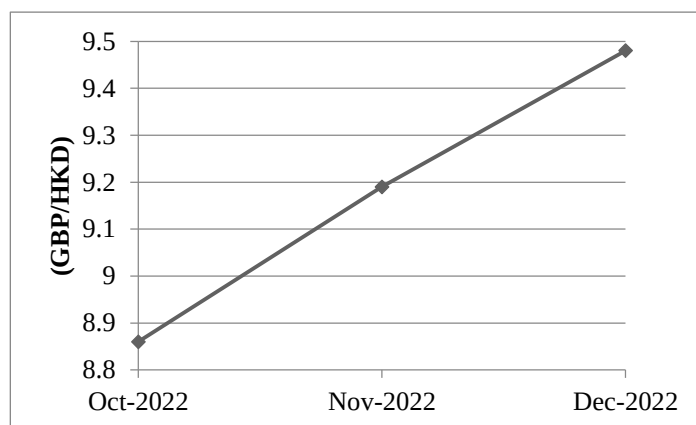


If the demand for good X increases, which of the following are **CORRECT**?

- (1) The world price of good X will increase.
- (2) The domestic production of good X will increase.
- (3) The import volume of good X will remain unchanged.
- (4) There will be an excess demand for good X.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (2) and (4) only

44. The following diagram shows the change in the exchange rate between the British pound (GBP) and the Hong Kong Dollar (HKD).

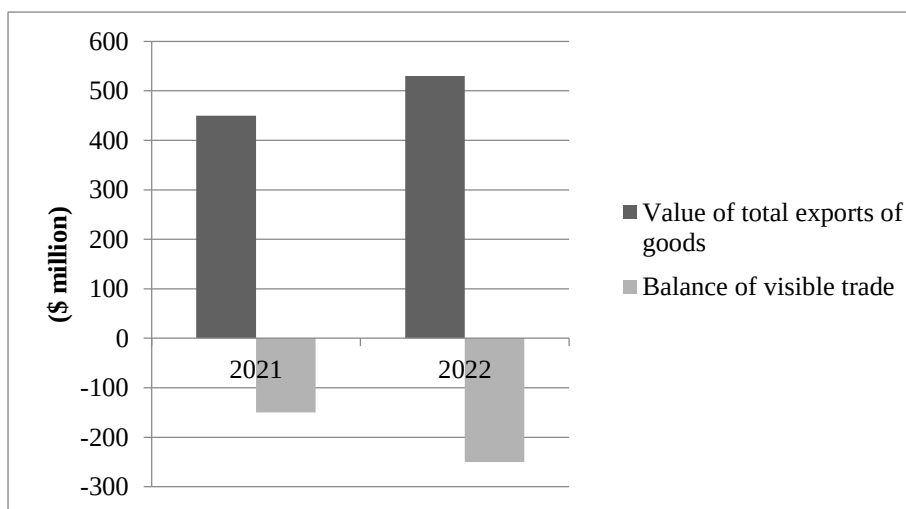


(Source: Census and Statistics Department, HKSAR Government)

During the period of October to December 2022, the change in the exchange rate between GBP and HKD would lead to _____.

- A. a decrease in the number of British tourists visiting Hong Kong
- B. a decrease in the total value of goods exported from Britain to Hong Kong (in terms of GBP)
- C. a decrease in the total value of goods exported from Hong Kong to Britain (in terms of GBP)
- D. a depreciation of the US dollar against the British pound

45. Study the following information about Country A.



Which of the following best explains the above changes in the economy from 2021 to 2022?

- A. Country A's value of garments imported from other countries increased.
- B. Manufacturers in Country A replaced foreign imported raw materials with local raw materials.
- C. More residents from other countries purchased life insurance from insurance companies in Country A.
- D. Expenditure of residents of Country A during their visits to other countries increased.

END OF PAPER